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13 PAGES

FEDERAL LEAD KIT · 08 · PRICE-TO-WIN TOOLKIT

Federal Labor Rate Benchmarks FY2026.

INSIDE THIS MANUAL ↓

- **IT & Cyber Rates** · GS-9 through GS-15 hourly and annual rates for developers, analysts, architects, and program leads
- **Professional Services** · Program analysts, management consultants, financial analysts, project managers — Low / Mid / High market
- **Indirect Rate Guidance** · Typical ranges for fringe, overhead, G&A, FCCOM, and profit — with the FAR/DFARS citations evaluators check
- **Sources to Verify** · GSA CALC, DoL Wage Determinations, BLS OES — anchor every rate to a published source

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01

IT & Cyber Rates

GS-9 through GS-15 hourly and annual rates for developers, analysts, architects, and program leads

02

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Program analysts, management consultants, financial analysts, project managers — Low / Mid / High market

03

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04

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/ INSIDE THIS GUIDE

Inside this benchmark guide.

PART ONE · DIRECT LABOR RATES

PART TWO · INDIRECTS, ESCALATION & PRICE-TO-WIN

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A LETTER TO THE OPERATOR

The proposal didn't lose on technical. It lost on a $4.20 fringe miscalculation.

Second federal proposal I ever priced, I built a wrap rate from a blog post. 30% fringe, 25% overhead, 12% G&A, 9% profit. Looked clean. Looked competitive. I won technical and lost on cost realism.

The debrief was short. The evaluator walked me through DoL Wage Determination 2015-4281 for the locality, showed me the SCA-mandated health and welfare rate, and added it line by line to my fringe number. My 30% was actually 38%. Across 24 FTEs over five option years, that was $1.4M of unfunded fringe the government would have had to absorb. Unrealistic cost. Rejection.

I built this benchmark guide so the next contractor doesn't lose a winnable bid to a number they pulled from the wrong source. Every rate here is anchored to GSA CALC, DoL Wage Determinations, or BLS OES. Use them as starting points, then verify against your locality and contract type before you submit.

Rates change. Verify against calc.gsa.gov and sam.gov/wage-determinations before every bid. The minute your wrap rate stops matching a published source, you're one cost-realism challenge away from losing.

A. Schüler

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PART ONE · DIRECT LABOR RATES

Knowing the market rate for every category you propose is the highest-value investment in your price-to-win process.

The next three pages give you nationwide blended rates for IT, cyber, and professional services labor categories — GS equivalents, SCA Wage Determination hourly rates, and Market Low / Mid / High annual salaries.

Always verify against GSA CALC and DoL Wage Determinations for your specific region and contract. These numbers are the starting point, not the final answer.

L01 · HOW TO READ THE BENCHMARKS

Four columns. Four different uses.

Each labor category in this guide carries four data points. They are not interchangeable. Pick the right one for the contract type and the cost volume you're building.

COLUMN	WHAT IT IS	WHEN TO USE IT
GS Equivalent	OPM General Schedule grade	Use for resume mapping and to justify experience levels in a key-personnel matrix. Evaluators expect this in technical volume.
SCA WD Rate	Service Contract Act hourly minimum	The floor. If your direct rate falls below this for an SCA-covered position, the contract will reject. Pulled from DoL Wage Determinations.
Market Low	10th-25th percentile annual salary	Use when you have an aggressive price-to-win target and your candidate pool is junior or in a low-cost-of-living region.
Market Mid	50th percentile annual salary	The defensible default. Cost-realism reviewers expect to see most of your proposed rates at or near Mid for a standard locality.
Market High	75th-90th percentile annual salary	Use for cleared positions, scarce specialties (zero-day researchers, FedRAMP authorizers), or high-cost localities like the DC metro and the Bay Area.

The headline numbers.

METRIC	VALUE	WHAT IT TELLS YOU
Average IT labor rate	$65.42 / hr	Nationwide blended direct hourly across the IT categories in this guide. Useful as a sanity check for a wrap rate build.
Annual escalation	3-5%	Apply across option years. FAR 52.222-43 covers the mechanism for SCA-covered work.
Typical overhead	35-55%	Of direct labor plus fringe, for IT and professional-services firms. Lower if you're virtual; higher with brick-and-mortar offices.

FIELD TIP

Convert hourly to annual by multiplying by 2,080 (40 hrs/wk × 52 wks). Convert annual to hourly by dividing by 2,080. Use 1,920 if you're modeling against productive hours after holidays and PTO.

L02 · IT & CYBERSECURITY LABOR CATEGORIES

IT and cyber benchmarks.

Nationwide blended. SCA WD rates are minimums where the position is SCA-covered. Market salaries assume a standard locality — verify the DC, NYC, San Francisco, and Boston metros at 10-25% higher.

LABOR CATEGORY	GS EQUIV	SCA WD RATE	MARKET LOW	MARKET MID	MARKET HIGH
Junior Software Developer	GS-9	$26.50/hr	$55K	$72K	$90K
Mid-Level Software Developer	GS-11	$31.75/hr	$80K	$105K	$130K
Senior Software Developer	GS-13	$42.20/hr	$105K	$135K	$165K
Lead / Principal Developer	GS-14	$51.50/hr	$130K	$165K	$200K
Cybersecurity Analyst I	GS-9	$27.80/hr	$58K	$75K	$95K
Cybersecurity Analyst II	GS-11	$35.20/hr	$80K	$105K	$128K
Senior Cybersecurity Engineer	GS-13	$46.10/hr	$110K	$140K	$175K
Systems Administrator	GS-9/11	$28.50/hr	$60K	$78K	$100K
Network Engineer	GS-11/12	$34.75/hr	$80K	$105K	$130K
Data Scientist	GS-12/13	$38.90/hr	$95K	$125K	$160K
Cloud Architect	GS-13/14	$48.50/hr	$120K	$155K	$195K
Program Manager (IT)	GS-14	$52.30/hr	$130K	$165K	$210K

CLEARANCE PREMIUM

Add 10-15% for Secret, 20-30% for Top Secret, 35-50% for TS/SCI with full-scope poly. The premium is bigger for senior cyber and cloud architect roles because the cleared candidate pool is small and the agencies know it.

L03 · PROFESSIONAL SERVICES LABOR CATEGORIES

Professional services benchmarks.

Same column rules as IT. Program management roles run hotter in DC and Northern Virginia — verify against the locality before you submit.

LABOR CATEGORY	GS EQUIV	SCA WD RATE	MARKET LOW	MARKET MID	MARKET HIGH
Administrative Assistant	GS-5/6	$18.40/hr	$35K	$45K	$58K
Program Analyst I	GS-9	$26.50/hr	$52K	$68K	$85K
Program Analyst II	GS-11	$31.75/hr	$68K	$88K	$110K
Senior Program Analyst	GS-13	$42.20/hr	$90K	$118K	$145K
Management Consultant I	GS-11	$30.50/hr	$65K	$85K	$108K
Senior Management Consultant	GS-13/14	$45.00/hr	$105K	$135K	$170K
Financial Analyst	GS-11/12	$32.80/hr	$70K	$92K	$115K
Training Specialist	GS-9/11	$27.20/hr	$55K	$72K	$90K
Technical Writer	GS-9/11	$27.90/hr	$55K	$70K	$88K
Project Manager	GS-12/13	$38.50/hr	$85K	$112K	$140K
Senior Program Manager	GS-14/15	$53.40/hr	$130K	$168K	$210K

FIELD TIP

PMP, ITIL, and federal-specific certs (FAC-P/PM, DAWIA) push a project manager from Mid to High in many evaluations. List the certifications on the resume and reference them in the price narrative when you're proposing High-end rates.

PART TWO · INDIRECTS, ESCALATION & PRICE-TO-WIN

Direct labor is half the math. Indirects, escalation, and defensibility decide the other half.

The next four pages cover the wrap rate components evaluators audit, the FAR clauses that govern option-year escalation, the locality math that breaks proposals across regions, and the three documents that protect your rates in a cost-realism review.

Get these right and a price-to-win submission survives the technical-evaluation hand-off into the cost-evaluation team. Get them wrong and a strong technical score still loses.

L04 · INDIRECT RATE GUIDANCE

Build the wrap. Defend each layer.

Direct labor by itself doesn't tell the government what it actually costs you to put a person on the contract. The indirect rates below stack on top of direct labor to produce a fully-loaded billable rate. Each layer needs a source the cost-evaluation team can verify.

INDIRECT RATE	TYPICAL RANGE (IT/SERVICES)	WHAT'S INCLUDED	SOURCE TO VERIFY
Fringe Benefits	28-38% of direct labor	Health insurance, retirement match, FICA, leave, life and disability	Your payroll records and benefits broker statements
Overhead	15-35% of direct labor + fringe	Office rent, admin staff, indirect labor, facilities, IT equipment	Incurred cost submission (ICS), prior-year actuals
G&A	8-18% of total cost input	Executive salaries, accounting, legal, business development, corporate IT	DCAA-reviewed rate proposal
Facilities Cost of Money (FCCOM)	0.5-2% (cost-type only)	Imputed cost of capital invested in facilities used on the contract	FAR 31.205-10 calculation
Profit / Fee	8-15% (FFP); 6-10% (Cost-Plus)	Fee earned on top of direct + indirect costs on cost-reimbursable contracts	Weighted Guidelines (DFARS 215.404-71)

FIELD TIP

Always anchor your rate proposal to published data. GSA CALC (calc.gsa.gov), DoL Wage Determinations (sam.gov/wage-determinations), and BLS Occupational Employment Statistics (bls.gov/oes). Unsupported rates trigger cost realism challenges, and a cost realism finding will hand the win to a competitor whose math was less ambitious but better documented.

L05 · ANNUAL ESCALATION

Option years are where weak pricing collapses.

A five-year contract with no escalation looks competitive on day one and loses money by year three. The government expects to see escalation. The trick is to escalate at a rate the cost-realism team will accept.

ESCALATION SOURCE	TYPICAL ANNUAL	WHEN TO USE IT
FAR 52.222-43 (Price Adjustment)	Tracks DoL Wage Determination revisions, usually 2-4%	SCA-covered service contracts. The clause requires the government to adjust your rates when the WD updates. Don't bury escalation; cite the clause.
BLS Employment Cost Index (ECI)	3-4% recent years	Professional and management positions not covered by SCA. Cite the most recent quarterly ECI release.
Internal salary survey (Radford, PayScale)	3-5%	Cleared and specialty IT positions where commercial labor markets move faster than federal indices.
Locality pay adjustment (OPM)	2-5% varies by metro	For positions explicitly tied to government locality pay tables — useful in DC, San Francisco, San Diego.

A worked example.

Senior Software Developer, $135,000 base year, 5-year contract with four option years at 3.5% annual escalation.

PERIOD	ANNUAL SALARY	HOURLY (÷2,080)
Base Year	$135,000	$64.90
Option Year 1	$139,725	$67.18
Option Year 2	$144,615	$69.53
Option Year 3	$149,677	$71.96
Option Year 4	$154,915	$74.48

WHY THIS MATTERS

A bidder who escalates at 0% across five option years looks 17% cheaper on the total evaluated price. The cost-realism evaluator will adjust those rates upward to a realistic level, and the price advantage disappears. Worse, the adjusted price often pushes them out of the competitive range entirely.

L06 · REGIONAL WAGE ADJUSTMENTS

One locality multiplier can wipe out your margin.

The nationwide numbers in this guide assume a standard locality. The DoL Wage Determination for the actual place of performance overrides them. Pull the right WD before you finalize the cost volume.

METRO / REGION	TYPICAL IT MULTIPLIER	WHAT DRIVES IT
Washington DC / Northern VA	1.15 - 1.30 ×	Cleared talent concentration and federal locality pay. The default benchmark for most federal IT bids.
San Francisco Bay Area	1.30 - 1.55 ×	Commercial tech competition for the same engineers the federal contract needs.
New York Metro	1.20 - 1.40 ×	Cost of living and finance-sector salary anchoring.
Boston	1.15 - 1.30 ×	Defense and life-science labs pulling on the same engineering pool.
Huntsville AL	1.00 - 1.10 ×	Army contracts, lower cost of living, deep cleared workforce. Cheaper than DC for the same Top Secret talent.
Colorado Springs	1.05 - 1.15 ×	Space Force and NORAD demand on a smaller candidate pool.
San Antonio / Austin	1.00 - 1.15 ×	16th Air Force cyber, growing tech market.
Remote / Nationwide	0.90 - 1.00 ×	Use a blended national rate. Document the work-from-anywhere model in your cost narrative.

FIELD TIP

Pull the active Wage Determination from sam.gov/wage-determinations before every SCA-covered bid. Search by state, county, and WD number cited in the solicitation. If the solicitation doesn't cite one and the work is SCA-covered, ask the contracting officer in writing. Don't guess.

L07 · DEFENDING YOUR RATES IN COST REALISM

Three documents protect every number you propose.

Cost realism is the evaluation factor that kills more bids than any technical weakness. The evaluator's job is to decide whether your proposed rates are realistic for the work. Have these three documents ready before you submit and the audit becomes a formality instead of a fire.

DOCUMENT	WHAT IT CONTAINS	WHERE TO SOURCE IT
1. Wrap Rate Build	Direct labor + fringe + overhead + G&A + FCCOM + profit, with each layer cited to a source	Internal accounting; DCAA-reviewed indirect rate agreement if you have one
2. Compensation Plan	Position descriptions, salary bands, benefits package, and the rationale for each band	HR records, benefits broker, comparable-position market study (Radford, PayScale, GSA CALC)
3. Basis of Estimate (BOE)	For every labor category: hours, rate, source citation, escalation method, and total cost by year	Pricing spreadsheet plus a written narrative for the cost volume

The five most common cost-realism findings.

FINDING	HOW TO AVOID IT
Proposed labor rates below the SCA Wage Determination	Pull the active WD for the locality. Compare every SCA-covered position. Raise rates that fall below the WD minimum before submission.
Zero or below-market escalation across option years	Escalate at 3-5% citing FAR 52.222-43, BLS ECI, or your internal salary survey. Show the math in the BOE.
Unrealistically low fringe rate	Walk through your benefits package. If you offer health insurance, retirement match, and PTO, you're at 28%+ fringe. Anything lower needs documentation.
Overhead rate inconsistent with company size	A 25-person firm with offices in three cities cannot defend a 10% overhead rate. Match the rate to the cost structure.
Key personnel proposed at rates below their commercial salary	If the resume shows a $185K base and you propose them at $120K, the evaluator assumes you'll lose them and downgrade. Match the rate to the commercial market for the named individual.

WHY THIS MATTERS

A cost-realism upward adjustment usually adds 8-15% to your proposed price. On a competitive bid that often pushes you from first to third on the cost factor and out of the award entirely. The documents above take a couple of days to prepare the first time and twenty minutes per future bid to refresh. The cost of skipping them is a six-month win.

WHAT'S NEXT

Rates change. The defensibility process doesn't.

Pull the active Wage Determination before every bid. Anchor every rate to GSA CALC, DoL WD, or BLS OES. Escalate option years at 3-5% with a cited source. Keep the wrap rate build, compensation plan, and basis of estimate updated. CapturePilot builds the cost volume scaffolding into every proposal draft so the math is right before the technical narrative is even finished. Free 14-day trial. No card. The full Federal Lead Kit at capturepilot.com/startup-pack.

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